system at states and cities is asked to play policy functions, at first, there will be a gap in capabilities. As decentralization progresses, policy capabilities can be built in organizations which may presently appear to have a mere field orientation.

While shifting power to states and to cities is desirable, political system reforms will also be required. As an example, the chief minister of the typical Indian state faces little by way of checks and balances: winning one assembly election yields extreme power. The five pillars of checks and balances—data, intellectuals, media, legislature, judiciary—all work poorly upon state governments. Strengthening of these checks and balances needs to take place alongside the traditional decentralization agenda.

Once these political system reforms are implemented, the pressure of accountability to local voters can be stronger in states and cities than is the case with the Union government. A voter sees a street lamp that does not work, and is able to translate this into an opinion about the performance of the city government. In contrast, the policy actions of the Union government are largely out of sight and out of mind.

While decentralization is a sound approach, there are two areas which we should be careful about.

The first issue is about problems that require coordination *between* states. As an example, the transportation system requires design at the level of the country, about how highways and gas pipelines and ports will be placed. The Union government can play a leadership role for this planning.

The second issue is about the possibility of severe capacity constraints in a state or a city. There is the possibility of a geographical region falling into a vicious cycle, where talented people leave, which gives a shortage of skills in the public policy process, which exacerbates elite flight. We need to keep a watch for these vicious cycles and have a set of strategies to address them.